



Results (standalone) above estimates with Retail business of Madhura Lifestyle growing 30% over Pre Pandemic (i.e. Q3FY20)

- Revenue grew 39.5% YoY to Rs 28727.8mn (QoQ +44%) over Q3FY20 +12%)
Retail business in Madhura Lifestyle grew by 41% YoY and +30% over pre-covid levels
- EBIDTA at Rs 5553.4mn was up 35% YoY and 76.5% QoQ
- EBIDTA margins stood at 19.3% v/s 20% YoY, 16% QoQ
- Raw Mat to Revenue 46.3% v/s 47.7% YoY and 47.4% QoQ
- Employee cost increased by 44% YoY to Rs 2881mn +11% QoQ
- Rent Expenses (reported) to Revenue was 7% v/s 5% YoY (concession for Q3FY22@ Rs 541mn (including Rs 26mn for periods after Dec 21 v/s Rs 428.7mn in Q3FY21 including Rs 90.4mn for periods after Dec 20.)
- Other Expenses to revenue stood at 17.4% v/s 17.3% YoY and 21.3% QoQ
- PBT stood at Rs 2550mn +187% YoY and v/s Rs 197mn QoQ
- PAT stood at Rs 1907mn +187% YoY and v/s Rs 141mn QoQ

Outlook:

- Sustaining the same amount of momentum would be the key.
- Q3FY22 aided by festive, pent-up and high level of cost cutting was good in all aspects
- Newer avenues are building high hopes, delivering expected results would re-rate the stock

Financial Summary

Y/E Mar (Rs mn)	FY20*	FY21*	FY22E*	FY23E*	FY24E*
Net sales	87,425	51,811	77,393	1,07,141	1,21,745
Adjusted net profit	(1,439)	(6,496)	(1,895)	1,518	2,618
EPS (Rs)	(2)	(7)	(2)	2	3
growth (%)	NA	351	(71)	(180)	72
P/E (x)	NA	NA	(146)	182	106
P/B (x)	21	10	10	10	9
EV/EBITDA (x)	22	51	33	21	18
D/E	2	0.4	0.5	0.5	0.4
RoCE (%)	12	NA	3	14	17
RoE (%)	NA	NA	(7)	5	8

*- Post IND-AS 116

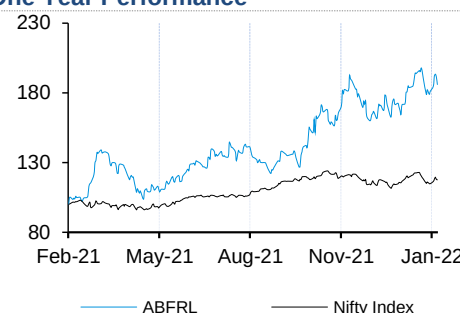
Rating	TP (Rs)	Up/Dn (%)
Accumulate	341	16

Market data

Current price	Rs	295
Market Cap (Rs.Bn)	(Rs Bn)	277
Market Cap (US\$ Mn)	(US\$ Mn)	3,703
Face Value	Rs	10
52 Weeks High/Low	Rs	319 / 151
Average Daily Volume	('000)	2,904
BSE Code		750636
Bloomberg		ABFRL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	56.12	56.13
Public	43.36	43.34
Othres	0.52	0.53
Total	100	100

Source: BSE

Segments

A. TOTAL MADHURA SEGMENT 51% YoY to Rs 18760mn (+35% QoQ | +22% over Pre Pandemic levels) || EBIDTA Rs 3640 mn +68% YoY

- **1. Madhura Lifestyle Brands** +55% YoY to Rs 15890mn (+37% QoQ | +23% Pre Pandemic levels) || EBIDTA Rs 3460mn v/s Rs 1920mn YoY. Margin 21.8% v/s 18.7% YoY and 17.3% prepandemic
 - Wholesale +160% YoY to Rs 3740mn (+45% QoQ) || 5% below pre-covid
 - Retail +41% YoY to Rs 8340mn (+65% QoQ) || +30% over Pre-Covid
 - Others +31% YoY to Rs 3810mn (-3% QoQ) || +47% over Pre Covid

KTA's

- LTL @ 34% in retail business
- Entered smaller markets and would continue to add stores there
- Peter England Red now available at 400+ stores
- Active line VH Flex & casual line LOUIS did well
- Womens wear sales 2x
- 3 stores of PE girls and boys opened
- **2. Other Madhura business which includes innerwear** +30% YoY to Rs 2870mn (+22% QoQ | +21% Pre pandemic) || EBIDTA Rs 180mn -28% YoY. EBIDTA margins 6.4% v/s 11.2% YoY and -0.3% Pre pandemic
 - Innerwear revenue 1.5x over PreCovid
 - Innerwear Outlets @ 25000+ || added +1900 MBO's || 65 exclusive brand stores, plan to reach 100 EBO by FY22end || Ecom 2x YoY
 - Athleisure run-rate @ Rs 500crs
 - Forever 21 added 3 stores
 - American Eagle Revenue +127% over PreCovid || 5 new stores added
 - Super Premium Revenue +37% YoY || profitability strong || Collective.in revenue 4x over PreCovid || 9 stores added

B. PANTALOON +31.4% YoY to Rs 10660mn (+60% QoQ | -2% Prepandemic levels) || EBIDTA +14%YoY to Rs 2160mn. EBIDTA margins 20.3% v/s 23.4% YoY and 18.8 QoQ

- New Store net additions QoQ +22
- LTL @ 21.5%
- highest ever quarterly EBIDTA in absolute terms
- plan to add 20 new stores in Q4FY22.

- Marigold Lane premium women ethnic launched(across 35 stores)
- Omni channel grew 2x.
- Own Brands: MFL : Others @ 62:9:29 v/s 61:9:30 YoY
E.com channel grew by 67% YoY || Pantaloons.com +95% growth
75% now on omni

C. Ethnic Subsidiaries

- Launched Tasva- a Men's occasion wear brand in partnership with Tarun Tahiliani. 1 store opened, 2 in pipeline and target to open 5 in FY22.
- Premium women's ethnic wear brand Marigold Lane expanded to more outlets; Opened first exclusive brand outlet in Mumbai
- JAYPORE Revenue +25% YoY aided by E-com|| added 3 stores
- Shantanu and Nikhil Revenue 2x YoY || added 2 stores ended with 10 stores
- SABYASACHI Revenue witnessed good growth on account of wedding season || new store launched in Dubai saw good traction

D. Reebok

- Current Revenue run-rate ~ Rs 4bn target to reach Rs ~10bn in-line with other 2 large competitors

E. MASABA

- acquire 51% stake in 'House of Masaba Lifestyle Private Limited' to get entry into branded beauty and personal care segment @ Rs 900mn (this includes secondary and primary infusion) for 51%
- aim to clock Rs 5bn revenues

F. D2C brands subsidiary in the making

- to create platform for Direct to Consumer (D2C) business
- entity will organically incubate and also acquire promising and scalable D2C brands.
- Other than providing growth capital, ABFRL's proposition is built around its strong operational expertise where it will utilize its rich experience and capabilities to scale up this portfolio

Conference Call Key Takeaways

- Pandemic period has given enough experience to manage inventory better in good and bad period.
- Gross margins in Q4FY22 might be lower on account of mix
- Cash Flow from operations @ ~ 1000 crs which would fall by ~Rs 150 to Rs 200crs in Q4FY22 as Q3 is a seasonally high quarter.
- Pantaloon footfalls were impacted (~20%) by end of December due to 3rd wave and more number of stores in mall (~58%)
- Pantaloon margins better than Pre-Pandemic on lower through put on account of rent concession and better cost controls
- Total Store count under Ethnic is ~ 23 (with 8 new openings YTD with one in Dubai)
- 55% of online sales are serviced via own stores.
- Ethnic run rate of Rs 400crs (annualy) can grow @ 50-60%.

Quarterly Performance Analysis (standalone)

Exhibit 1

Particulars Rs Mns	Q3FY22	Q3FY21	Growth	Q2FY22	Growth
Revenue from Operations	28727.8	20590	39.5	19960.2	43.9
Other Income	228.7	141	62.2	221.8	3.1
COGS	13288	9822.8	35.3	9462.8	40.4
% of sales	46.3%	47.7%		47.4%	
Employee Benefit Expense	2881.3	2001.8	43.9	2592.6	11.1
% of sales	10%	10%		13%	
Other Expenses	4991.2	3554.6	40.4	4248.1	17.5
% of sales	17.4%	17.3%		21.3%	
Rent	2013.9	1097.4		510.2	
% of sales	7.0%	5.3%		2.6%	
Total	23174.4	16476.6	40.7	16813.7	37.8
% of sales	81%	80%		84%	
EBITDA excluding other income	5553.4	4113.4	35.0	3146.5	76.5
EBITDA MARGINS	19%	20%		16%	
EBITDA including other income	5782.1	4254.4	35.9	3368.3	71.7
Depreciation	2377.9	2270.9	4.7	2310.6	2.9
Finance costs	854.6	1095.4	(22.0)	860.4	(0.7)
exceptional items		0			
PBT	2549.6	888.1	187.1	197.3	1,192.2
Tax	642	224		56.4	
Tax Rate	25%	25%		29%	
PAT	1907.6	664.1	187.2	140.9	1,253.9
NPM	7%	3%		1%	
NPAT	1907.6	664.1	187.2	140.9	1,253.9
Adjusted PAT	1907.6	664.1	187.2	140.9	1,253.9
Equity	9380.4	8195.5	14.5	9375.2	0.1
Face Value	10	10		10	
Number of Shares	938.04	819.55	14.5	937.52	0.1
Basic EPS Calculated	2.03	0.81	150.96	0.15	1,253.1

Source: Dalal & Broacha Research, Company

Valuation & Outlook

Particulars (Rs. Bn)	FY24
Lifestyle Business	
Sales	63364
EBITDA	10772
Margins	17.0%
EV/EBITDA (x)	18
EV	193894
Pantaloon's	
Sales	45675
EBITDA	7308
Margins	16%
EV/EBITDA (x)	18
EV	131545
Other Business	
Sales	12705
EV/Sales (x)	2
EV	25410
Ethnic wear	
Sales	5668
EV/Sales (x)	2
EV	11336
Total EV	362185
Debt + Lease Liability	45224
Cash	2757
Equity Value	319719
No of shares	938
Per share	341
CMP	295
Upside (%)	16%

Valuation:

Highest every quarterly revenue and profits achieved in Q3FY22. Key would be to watch sustainability

We rollover to FY24e and at CMP of Rs 295 ABFRL (standalone) on EV/EBITDA basis trades at 21x and 17.6x FY23e and FY24e. We have re-worked our numbers and value the company on SOTP basis and as such arrive at a **target price of Rs. 341**, i.e. upside of 16%. **We maintain "Accumulate" from a long-term perspective as consolidation in this industry by bigger players is bound to happen.**

Financial

P&L (Rs mn) Standalone	FY20	FY21	FY22E	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	87,425.3	51,811.4	77,392.6	1,07,140.6	1,21,744.6	Net Profit	(1,439.0)	(6,496.2)	(1,894.9)	1,518.0	2,618.2
						Add: Dep. & Amort.	8,768.2	9,450.0	9,341.1	10,471.1	11,758.7
						Minority Interest	-	-	-	-	-
Cost of sales	75,171.6	45,868.1	67,896.3	91,909.1	1,03,633.6	Cash profits	7,329.2	2,953.8	7,446.2	11,989.1	14,376.8
						(Inc)/Dec in					
Operating Profit	12,253.7	5,943.3	9,496.3	15,231.5	18,111.0	-Sundry debtors	(536.0)	1,177.9	(2,317.6)	(3,667.6)	(1,800.5)
Depreciation	8,768.2	9,450.0	9,341.1	10,471.1	11,758.7	-Inventories	(4,281.2)	6,064.7	(3,774.2)	(5,214.8)	(3,601.0)
PBIT	3,485.5	(3,506.7)	155.2	4,760.4	6,352.3	-Loans/advances	(20.5)	14.7	(4.8)	(8.6)	(9.4)
Other income	650.9	726.4	917.0	933.8	1,037.9	-Current Liab and Provisions	(2,210.5)	(1,983.2)	5,080.1	8,407.4	5,642.1
Interest	4,227.3	4,983.9	3,405.7	3,664.8	3,890.0	- Other Assets	(572.7)	(1,808.8)	(822.4)	(934.0)	(1,022.5)
						- Non Current security Deposit	(277.3)	(47.5)	(97.6)	(309.1)	(317.1)
Profit before tax	(90.9)	(7,764.2)	(2,333.6)	2,029.5	3,500.2	Change in working capital	(7,898.2)	3,417.8	(1,936.3)	(1,726.6)	(1,108.4)
Exceptional and Extra Ordinary	-	-	-	-	-	CF from Oper. activities	(569.0)	6,371.6	5,509.9	10,262.5	13,268.5
share of profit/loss in JV	-	-	-	-	-						
PBT (Post Extra Ordinary)	(90.9)	(7,764.2)	(2,333.6)	2,029.5	3,500.2	CF from Inv. activities	(7,009.3)	(17,411.1)	(11,041.6)	(10,050.9)	(11,313.0)
Provision for tax	1,348.1	(1,268.0)	(438.7)	511.4	882.1						
Reported PAT	(1,439.0)	(6,496.2)	(1,894.9)	1,518.0	2,618.2	CF from Fin. activities	9,654.9	10,034.2	4,476.5	-	-
MI	-	-	-	-	-						
Adjusted PAT	(1,439.0)	(6,496.2)	(1,894.9)	1,518.0	2,618.2	Cash generated/(utilised)	2,076.6	(1,005.4)	(1,055.2)	211.7	1,955.4
						Cash at start of the year	574.1	2,650.7	1,645.4	590.2	801.8
						Cash at end of the year	2,650.7	1,645.4	590.2	801.8	2,757.3
							2,650.7	1,645.4	590.2	801.8	2,757.3
Balance Sheet	FY20	FY21E	FY22E	FY23E	FY23E	Ratios	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	7,739.8	9,150.5	9,380.4	9,380.4	9,380.4	OPM	14.0	11.5	12.3	14.2	14.9
Reserves	3,119.2	17,695.3	18,062.1	19,580.1	22,198.3	NPM	(1.6)	(12.4)	(2.4)	1.4	2.1
Net worth	10,859.0	26,845.8	27,442.5	28,960.5	31,578.7	Tax rate	(1,483.1)	16.3	18.8	25.2	25.2
Minority Interest	-	-	-	-	-	Growth Ratios (%)					
Non Current Liabilities	29,259.3	29,642.0	35,790.3	38,258.3	40,890.1	Net Sales	7.7	(40.7)	49.4	38.4	13.6
						Operating Profit	121.2	(51.5)	59.8	60.4	18.9
Current Liabilities	56,771.3	41,138.8	44,318.3	53,055.7	59,209.0	PBIT	28.3	(200.6)	(104.4)	2,967.0	33.4
						PAT	(144.8)	351.4	(70.8)	(180.1)	72.5
CAPITAL EMPLOYED	96,889.6	97,626.6	1,07,551.1	1,20,274.5	1,31,677.8	Per Share (Rs.)					
						Net Earnings (EPS)	(1.9)	(7.1)	(2.0)	1.6	2.8
Non Current Assets	55,380.7	60,904.1	66,159.8	68,997.6	72,174.5	Cash Earnings (CPS)	(13.2)	3.2	7.9	12.8	15.3
Fixed Assets	29,123.5	26,813.6	29,756.7	32,134.4	34,831.7	Dividend	-	-	-	-	-
Non Current Investments	1,700.1	6,895.3	7,938.9	7,938.9	7,938.9	Book Value	14.0	29.3	29.3	30.9	33.7
Non Current tax assets	222.5	215.5	192.6	192.6	192.6	Free Cash Flow	(9.8)	(12.1)	(5.9)	0.2	2.1
Long Term Loans and Advances	34.3	25.9	19.4	20.4	21.4						
Other NON Current Assets	764.8	2,108.1	2,229.9	2,380.0	2,541.4						
Goodwill	18,596.0	18,596.0	18,596.0	18,596.0	18,596.0						
Deferred Tax Assets	1,949.6	3,212.3	4,291.3	4,291.3	4,291.3						
Security Deposits	2,989.9	3,037.4	3,135.0	3,444.1	3,761.1						
Current Assets	41,508.9	36,722.5	41,391.3	51,276.9	59,503.3	Valuation Ratios					
Current investments	-	2,995.3	1,892.9	1,892.9	1,892.9	P/E(x)	(158.7)	(41.6)	(146.0)	182.3	105.7
Inventories	23,494.0	17,429.3	21,203.5	26,418.2	30,019.2	P/B(x)	21.0	10.1	10.1	9.6	8.8
Trade Receivables	8,401.9	7,224.0	9,541.6	13,209.1	15,009.6	EV/EBIDTA(x)	22.4	51.0	33.2	20.9	17.6
Cash and Bank Balances	2,650.7	1,645.4	590.2	801.8	2,757.3	Div. Yield(%)	-	-	-	-	-
Short Term Loans and Advances	71.2	64.9	76.2	83.8	92.2	FCF Yield(%)	(3.3)	(4.1)	(2.0)	0.1	0.7
Other Current Assets	6,891.1	7,363.6	8,087.1	8,871.0	9,732.1						
						Return Ratios (%)					
						ROE	-13%	-24%	-7%	5%	8%
Capital Deployed	96,889.6	97,626.6	1,07,551.1	1,20,274.5	1,31,677.8	ROCE	12%	-7%	3%	14%	17%

Source: Dalal & Broacha Research, Company

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	Email	Phone	Sector
Mr.Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Auto Auto ancillary FMCG
Mr.Mayank Babla	Sr.Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT Telecom Media
Mr.Avinash Tanawade	Sr.Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr.Akshay Ashok	Sr.Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr.Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022 67141444	Midcaps
Mr.Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022 67141489	FMCG Retail

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992, 2287 6173, Fax: 91-22-2287 0092

E-mail: equity.research@dalal-broacha.com